



MARKET MONITOR

No. 48 – May 2017

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Roundup

Prospects for wheat continue to point to a decline in world production from the 2016 record, albeit still permitting a further build-up in global wheat inventories in the new marketing season (2017/18). Maize and rice market could be heading for some tightening, although the increase in global production could ensure a still comfortable supply situation in 2017/18. Soybeans are likely to begin the new season with record-large opening stocks, reflecting the latest upward revisions to the 2016/17 production level. In view of persistent bearish factors, international prices for all four AMIS crops remain subdued.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▲	▼
Rice	■	▼
Soybeans	▲	▲

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** production in 2017 to fall below the 2016 record on anticipation of smaller crops in Australia, Canada, Russia and the US.
- Utilization in 2017/18 to decrease more than it was projected in April because of a sharper dip in feed use of wheat.
- Trade in 2017/18 (July/June) to decline by less than was anticipated earlier due to higher import expectations in China and India.
- Stocks (ending in 2018) to reach the second highest on record with the latest forecast bigger than last month, on larger end-season inventories in China, Morocco and Russia.

WHEAT	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2015/16	2016/17	2016/17	2017/18
	est.	f'cast		est.	f'cast	est.	f'cast
		6-Apr	4-May		11-Apr		27-Apr
Production	760.3	739.9	740.4	735.2	751.4	753.4	736.3
Supply	979.6	979.9	980.0	952.8	993.1	977.0	976.6
Utilization	732.0	734.7	731.0	711.1	740.8	736.7	737.6
Trade	173.8	169.0	170.0	172.8	180.7	170.6	166.3
Stocks	239.6	246.6	247.6	241.7	252.3	240.3	239.0

- **Maize** production expectations for 2017 improved, now 1.3 percent above the 2016 level; boosted by bumper crops in southern hemisphere countries.
- Utilization to expand by 2.2 percent in 2017/18, supported by a strong expansion in feed use, mostly in China and South America.
- Trade in 2017/18 (July/June) to fall below the 2016/17 level as smaller imports by Brazil and several countries in southern Africa are seen to more than offset larger imports by the EU and several Asian countries.
- Stocks (ending in 2018) raised sharply (by 7.6 million tonnes) since last month mostly on upward historical adjustments to inventory levels in China.

MAIZE	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2015/16	2016/17	2016/17	2017/18
	est.	f'cast		est.	f'cast	est.	f'cast
		6-Apr	4-May		11-Apr		27-Apr
Production	1,040.5	1,050.8	1,054.1	963.3	1,053.8	1,058.8	1,026.0
Supply	1,261.9	1,274.9	1,278.2	1,173.1	1,265.6	1,268.1	1,252.8
Utilization	1,035.3	1,054.9	1,058.6	961.3	1,042.6	1,041.3	1,046.0
Trade	137.9	134.0	135.0	120.0	154.4	137.4	139.3
Stocks	224.1	206.8	214.4	211.8	223.0	226.8	206.9

- **Rice** production forecast for 2017 little changed from last month, with Brazil, China, India and Indonesia expected to drive a 0.9 percent global production expansion.
- Utilization to grow by 1.2 percent in 2017/18, with per capita intake holding steady.
- Trade forecasts for 2017 and 2018 downscaled slightly, but renewed demand from Asia and Africa still anticipated to sustain expansions in both years.
- Stocks (ending in 2018) trimmed, mostly on downward adjustments to inventories in Bangladesh and the US.

RICE (milled)	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2015/16	2016/17	2016/17	2017/18
	est.	f'cast		est.	f'cast	est.	f'cast
		6-Apr	4-May		11-Apr		27-Apr
Production	499.2	504.0	503.8	472.3	481.1	483.0	486.6
Supply	670.5	675.2	675.0	587.2	597.3	600.8	605.6
Utilization	500.3	506.5	506.5	471.0	479.2	481.9	485.2
Trade	43.2	44.2	44.1	40.4	41.1	40.4	40.6
Stocks	171.2	170.8	170.6	116.1	118.1	118.9	120.4

- **Soybean** 2016/17 production forecast upgraded by 3.6 million tonnes on better than anticipated yields in Brazil as well as in Bolivia.
- Utilization in 2016/17 raised marginally, with upward revisions for China and Brazil more than offsetting downward corrections elsewhere.
- Trade forecast for 2016/17 (Oct-Sept) increased on stronger import demand in China and higher shipments from Brazil.
- Stocks (2016/17 carry-out) lifted further on higher forecasts for Brazil, China and the US – implying a 17 percent y/y increase in global inventories.

SOYBEANS	FAO-AMIS			USDA		IGC	
	2015/16	2016/17		2015/16	2016/17	2016/17	2017/18
	est.	f'cast		est.	f'cast	est.	f'cast
		6-Apr	4-May		11-Apr		27-Apr
Production	314.6	342.6	346.1	313.0	346.0	344.5	347.8
Supply	358.5	385.3	388.7	390.6	423.1	377.1	387.9
Utilization	320.3	337.1	337.5	314.6	332.4	337.0	350.1
Trade	134.9	141.2	142.9	132.2	143.3	141.1	146.2
Stocks	42.6	47.8	50.0	77.1	87.4	40.1	37.8



FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2017/18*

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	557	911	-3718	970	1013	3301	1000	3667	1040	7616
Total AMIS	-99	625	-3609	1135	-1391	3575	645	3565	950	4643
Argentina	300	-	-100	-	-300	-	-	-1000	-	-
Australia	-	-25	-	-	-	11	-	11	-	-
Brazil	-	-1500	-800	-200	-1200	3455	-200	3255	-	-
Canada	-	-	200	-	500	-	-	-	-	-
China Mainland	-	500	-2213	-	1167	-2000	500	-	-	4212
Egypt	-	-	-	-	-	-	300	200	-	100
EU	-	-	-1200	1200	-	-	500	500	-	-
India	-640	500	360	-	-3000	-	-	-	-	-
Indonesia	-	500	800	-	-	1000	-	1000	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-500	-	-350	-	-100
Rep. of Korea	-1	400	49	-	100	-	-	-300	-	469
Russian Fed.	-	-	-	-	1000	-	-	-	-	-
Saudi Arabia	-	350	-	-	350	-	400	390	-	20
South Africa	200	-100	-	100	-	600	-900	-300	100	-100
Thailand	-	-	-	-	-	100	10	160	-50	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	42	-	-1471	35	92	910	35	-	500	42
US	-	-	816	-	-	-	-	-	400	-
Viet Nam	-	-	-50	-	-100	-	-	-	-	-

	RICE					SOYBEANS *				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-174	-136	5	-120	-203	3573	1705	408	1753	2198
Total AMIS	35	-	116	-50	-61	2936	1718	383	1730	2106
Argentina	48	-	13	-	35	-	-	-	-	-
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-12	-	-17	-	-	3047	-	200	1900	825
Canada	-	-	-	-	-	-	-	-	-	-
China Mainland	-	-	-30	-	-	-	1600	600	-	1000
Egypt	-	-	-	-	-	-	-	-	-	-
EU	-	-	-	-	-	-	100	-83	-	-
India	-	-	-	-	-	-	-	-130	130	-
Indonesia	-	-	-	-	-	-129	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-30	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	20	-	-
Russian Fed.	-	-	-	-	-	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	14	-28	-	-	-
Thailand	-	-	-	-	-	4	250	274	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	-	-	-	-	-	-	-7	-	-	-
US	-	-	-	-50	-96	-	-	-281	-300	281
Viet Nam	-	-	150	-	-	-	-167	-217	-	-



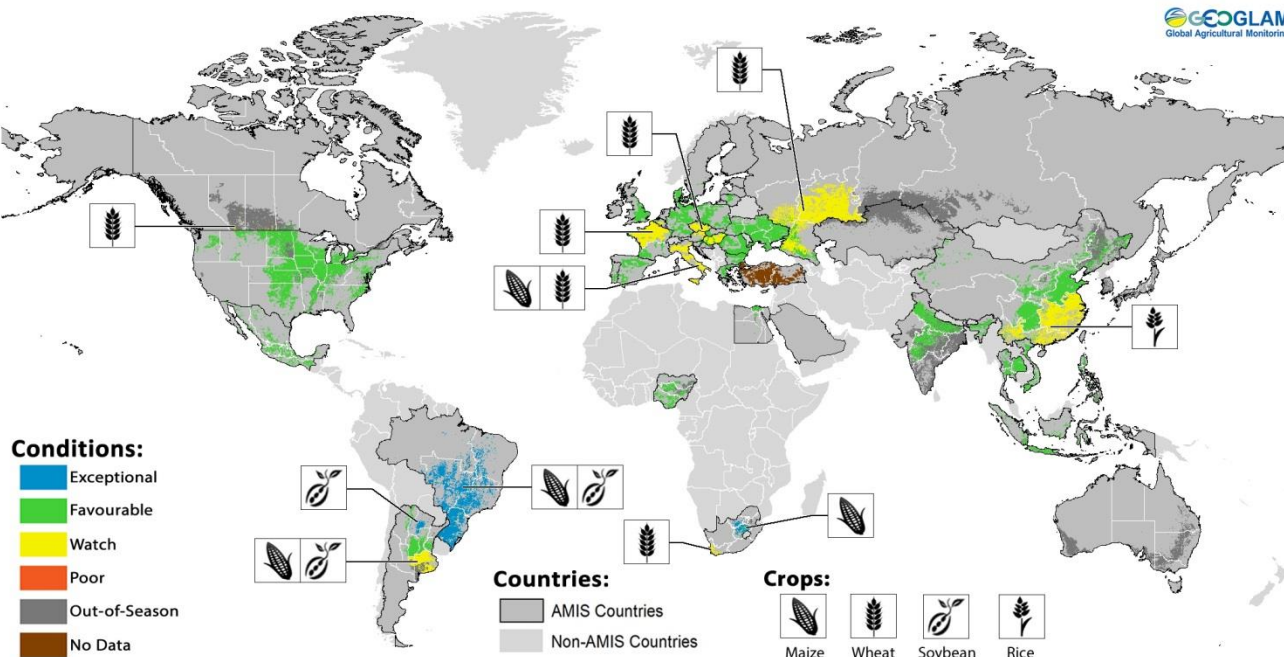
Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

* Soybean revisions refer to 2016/17 season.

Crop monitor

Crop conditions in AMIS countries (as of 28 April)

GEGLAM
Global Agricultural Monitoring



Crop condition map synthesizing information for all four AMIS crops as of 28 April. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, winter wheat conditions are mixed as dry or cold weather is observed in areas within Europe, Canada, and the Russian Federation. Spring wheat sowing has begun.

Maize - Overall conditions in the southern hemisphere are favourable to exceptional with very good production prospects. In Brazil, harvest of the spring-planted crops is wrapping up under exceptional conditions. While in Argentina, harvesting has been delayed. In the northern hemisphere, maize sowing is proceeding under generally favourable conditions.

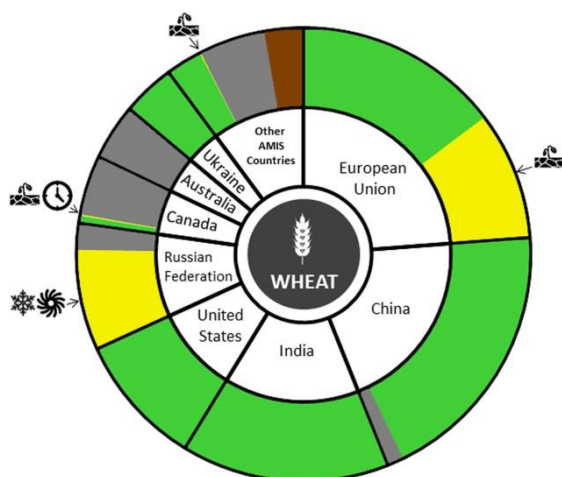
Rice – The secondary rice season is currently ongoing in the majority of AMIS countries in Asia with the exception

of Indonesia, where the wet-season crop is being harvested. Crop conditions in Asia are generally favourable, with the exception of China where rainy weather is affecting early rice in the south central regions.

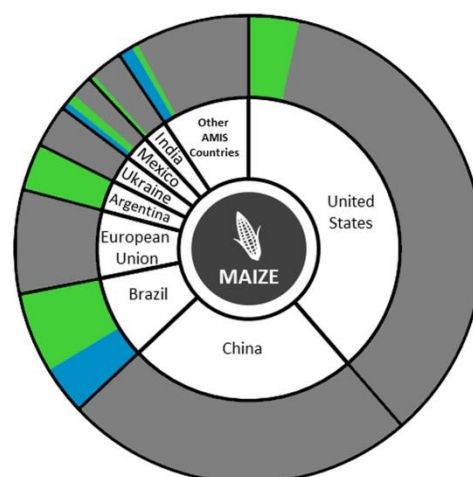
Soybeans - In the southern hemisphere, harvesting is proceeding under exceptional conditions in Brazil. In Argentina, harvest conditions continue to be favourable with some minor areas in the south confronting floods. In the northern hemisphere, sowing is beginning with the US expecting planted area to be at a record high.

PRESS STOP

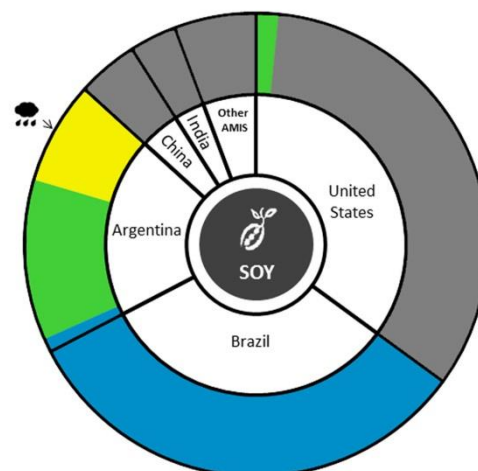
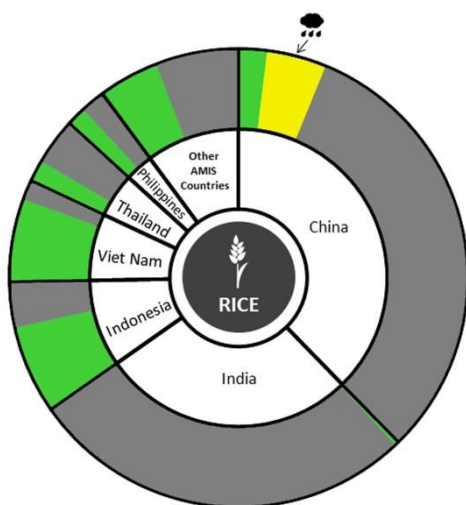
The impact of the recent snowstorm which hit parts of the US Plains winter wheat belt will be discussed in the June report as the cut-off date for production of this month's report was 28 April.

Conditions:**Drivers:****Wheat**

Winter wheat conditions in the northern hemisphere are mixed as dry or cold conditions are observed in some areas. In the **EU**, winter wheat conditions are generally favourable; however, additional rain is needed in important crop-production areas and a cold spell has raised concerns and delayed crop growth. In the **US**, conditions are favourable as the South Great Plains has received rainfall, abating the earlier dryness. Both winter wheat and spring wheat areas are expected to be down to multi-decade lows. In **China**, conditions are favourable for winter wheat as the crop is in vegetative stage. In **India**, winter wheat is under favourable conditions as harvesting is finishing. In the **Russian Federation**, conditions are under watch as an April snowfall and frost may have damaged the crop in places. In **Ukraine**, conditions remain favourable while recent cool weather has slowed crop growth and development. In **Canada**, conditions are mixed as prolonged dry weather and insufficient snow cover in the southern prairies has raised concerns about winterkill.

**Maize**

Overall conditions in the southern hemisphere are favourable with very good production prospects while sowing begins in the northern hemisphere. In **Brazil**, the spring-planted crop harvest is coming to a close under exceptional conditions with increased production prospects. The summer-planted (larger) crop is under favourable conditions. In **Argentina**, harvesting of the early-planted crop has been delayed due to the beginning of the soybean harvest. Crop conditions remain favourable with no major losses expected from the recent flooding. In **South Africa**, conditions are exceptional as wet conditions during most of the summer season have boosted production prospects for this year. In **Mexico**, autumn-winter maize has entered the vegetative stage under favourable conditions and the sowing of spring-summer maize has begun. In the **US**, sowing is now progressing throughout the country under favourable conditions. In **China**, sowing of the spring-planted crop has begun under favourable conditions. In the **EU**, conditions are generally favourable with the exception of dry weather delaying sowing in northern Italy.

Conditions:**Drivers:****Rice**

In **India**, Rabi rice is in favourable conditions as the harvest nears completion with good yields expected. In **China**, conditions are mixed for early rice as continuous rainy weather has been unfavourable in the south central regions. In **Indonesia**, harvesting continues for the wet-season crop with good yields owing to the later-planted rice receiving more irrigation water and sunlight than the earlier-planted crops. In **Viet Nam**, conditions are favourable for dry-season rice in both the north and south. Harvesting of dry season rice has begun while sowing of wet season rice is ongoing in the south. In **Thailand**, harvesting of dry-season rice has begun under favourable conditions with increased yields expected owing to sufficient rainfall and irrigation water over the course of the season. In the **Philippines**, the harvesting of dry-season rice is ongoing and the crop is under favourable conditions with good yields expected. In **Brazil**, conditions remain favourable as the harvest nears completion in the main producing region. In the **US**, nearly all sowing has been completed and is progressing under favourable conditions.

Soybeans

In **Brazil**, the harvest is coming to a close under exceptional conditions with increased production prospects now across the country, owing to adequate water and good weather over the course of the growing season. In **Argentina**, the harvest is progressing with some delays in the south due to heavy rains and flooding. Production prospects remain positive on good yields, which have offset the negative impacts of flooded areas. In the **US**, sowing has begun in the south. Sown area for 2017 is expected to be at a record high.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 4 May 2017

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRR), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 19 April, the Ministry of Agriculture in **Brazil** reduced the minimum wheat prices of all wheat types by 3.6 percent for the 2017/18 crop.

Maize

- On 7 April, through the National Supply Company (Conab), the Federal Government of **Brazil** authorized the sale of up to 250 thousand tonnes of maize from public stocks to meet the demand from meat producers.
- To support maize producers, on 20 April, **Brazil** promulgated Interministerial Ordinance No. 800, which approved the granting of subsidies amounting to BRL 500 million (USD 159 million). Furthermore, the government announced the purchase of up to 1 million tonnes of maize produced in Mato Grosso, through an auction of option contracts which will last until 15 September. The price has been set at BRL 17.87 per 60 kg bag (USD 9.55 per tonne).

Rice

- As of 10 April, importing rice through established Free Trade Zones is prohibited in **Nigeria** as part of a drive to control illegal smuggling and enforce compliance with an existing ban on rice imports through land borders.
- The government of **Thailand** approved a five-year plan with a budget of THB 26 billion (USD 862 million) to improve the quality and quantity of rice production by promoting the use of premium grade jasmine rice seed and the production of organic rice.

Soybeans

- Following the introduction on 1 March of subsidies to soybean production in disadvantaged regions, on 6 April the Ministry of Agriculture in **Argentina** set the reference price used to calculate related producer subsidy payments at ARS 5 792 (USD 378.53).

Across the board

- As part of the national food supply strategy, and in order to ensure the effective distribution of agricultural goods, on 10 April the State Council of **China** issued guidelines concerning the redistribution of available arable land. In the course of the next three years, some 60 million hectares are to be allocated to cereals (including maize, wheat and rice) and 19 million hectares to soybeans, cotton, rapeseed, sugar cane and natural rubber.
- On 9 April, the Ministry of Agriculture in **India** launched an initiative to increase and diversify marketable surplus; facilitate the allocation of loans to small-scale farmers; and encourage investment in market infrastructure from public and private sectors.
- On 18 April, the **US** and **Australia** signed a Food Safety Recognition Agreement to streamline trade-related procedures.
- On 25 April, an Interagency Task Force on Agriculture and Rural Prosperity was established by presidential executive order in the **US** in order to promote economic development and revitalization, job growth, infrastructure, innovation, and quality of life in rural areas. Among other aspects, and based on direct inputs from the agricultural community, the Task Force will focus on tax policies, conservation requirements, as well as food safety issues. Its recommendations for legislative and administrative actions are expected to be released within 180 days.

Biofuels

- On 4 April, the **EU** Parliament requested the European Commission to phase out the use of vegetable oil for production of biofuels because of environmental concerns.
- On 12 April, the **US** Department of Commerce initiated a countervailing and antidumping duties investigation on imports of biodiesel from Argentina and Indonesia from January to December 2016. Preliminary determinations are expected to be made within 65 days after the date of initiation.
- On 27 April, new legislation was introduced in **US** Congress that, if approved, would convert the blenders' credit for biodiesel to a USD 1-per-gallon production credit for fuels produced in the United States for three years. Furthermore, small scale



AMIS Policy database

Visit the **AMIS Policy database** at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

biodiesel producers would be entitled to a 10 cent increase on the dollar per gallon credit.

PRESS STOP

- On 31 March, **India** approved the removal of all quantitative ceilings on individual organic crops (including wheat and non-basmati rice) and allowed unrestricted exportation of all certified organic agricultural and processed products. The policy is intended to encourage adoption of premium-priced organic agriculture and to support producers' incomes and efforts to establish stable market linkages domestically and abroad.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	April 2017 Average*	% Change	
		M/M	Y/Y
GOI	182	- 3.2%	- 2.8%
Wheat	158	- 3.0%	- 3.4%
Maize	173	- 0.6%	- 3.7%
Rice	153	+ 2.0%	+ 1.5%
Soybeans	180	- 5.6%	- 3.2%

*Jan 2000=100, derived from daily export quotations

Wheat

Price sentiment remained mostly negative during April, pressured by heavy old crop stocks and tentative expectations for another good global harvest in 2017/18. Nevertheless, with the market focus mainly on weather developments, some concerns emerged about less than ideal conditions for crops in certain regions. Market participants monitored prolonged dryness in parts of the EU, especially in France, while wet soils hindered the early stages of spring sowing in the US and Canada. Despite expectations for a good harvest, importers in India remained active buyers amid attractive international prices even after the recent reinstatement of an import duty, with a purchase of 150 000 tonnes from Australia reported for May shipment, at up to USD 221 cost and freight. Among other recent purchases, Algeria secured approximately 570 000 tonnes of milling wheat at about USD 199 cost and freight, June shipment, likely mainly from the EU, while feed makers in Republic of Korea bought several cargoes of new crop wheat at around USD 188 cost and freight, July-September shipment.

Maize

Average world maize export values were fractionally lower during April, with most key markets trading in a narrow range. Prices at the US Gulf dropped for a second successive month, weighed by heavy supplies and prospects for much stiffer export competition from South America in the second half of 2017. Overall losses were capped by speculation about possible Midwest seeding delays. Slow country movement

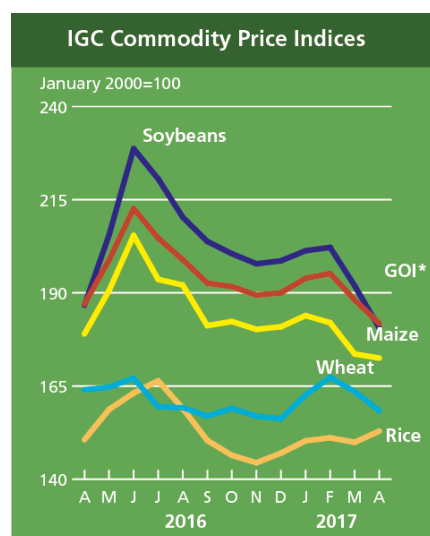
contributed to advances in Argentina, where farmers were said to be prioritising the soybean harvest. Partly reflecting currency movements, old crop values in the Black Sea region remained firm.

Rice

Asian white and parboiled rice markets were mostly firmer in April, the IGC GOI sub-Index climbing to an eight-month peak. In Thailand, support stemmed from talk of substantial fresh sales to Iran, together with reports of a smaller than anticipated secondary (off-season) crop. Quotations in Pakistan strengthened on signs of improved demand in the run up to Ramadan, while offers in India were underpinned by currency movements and tightening kharif supplies. In contrast, prices in Vietnam eased against the backdrop of seasonal harvest pressure and thin buying interest.

Soybeans

World soybean markets retreated significantly during April, the IGC's daily Index down by 6 percent, as prospects for heavy global availabilities weighed on sentiment. In Brazil, where conditions were mostly favourable, harvesting of what is set to be the biggest ever crop moved into its final stages. Prices were also pressured by survey-based data indicating that US farmers are planning to significantly boost plantings for the 2017/18 outturn. However, declines were trimmed by good international demand, reluctant selling by growers in Brazil and earlier concerns about the impact of adverse weather on mature fields in core areas of Argentina.

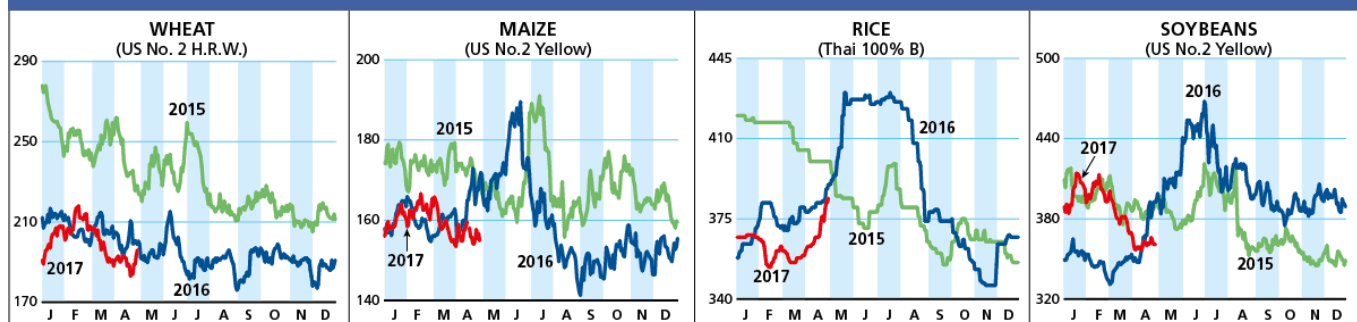


*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100))				
2016	April	187.0	164.0	179.0	150.6	186.7
	May	198.8	164.7	190.6	158.7	205.5
	June	212.6	167.1	205.4	163.1	228.7
	July	204.7	159.4	193.6	166.4	220.6
	August	198.9	159.2	192.1	159.0	210.3
	September	192.6	156.9	181.2	150.4	203.8
	October	191.7	159.0	182.3	146.4	200.5
	November	189.4	156.9	180.2	144.4	197.8
	December	190.0	156.2	180.9	147.0	198.6
	2017 January	193.9	162.6	183.9	150.3	201.3
2017	February	195.2	167.3	182.0	151.1	202.2
	March	188.1	163.5	173.6	149.9	191.9
	April	181.8	158.4	172.5	152.9	180.6

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2015-2017)

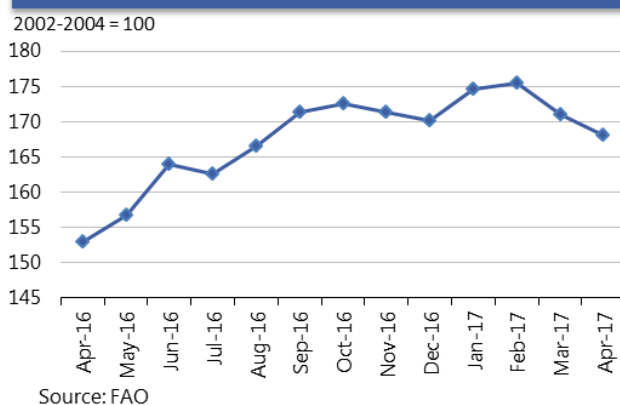
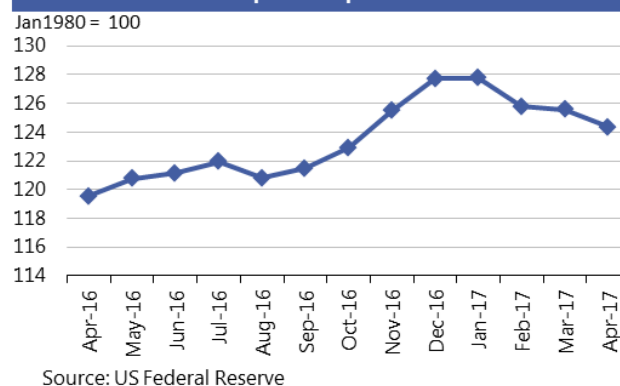


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	28-Apr	196	185	191	199	5.9%	-1.4%
Maize (US No. 2, Yellow)	28-Apr	155	154	155	171	0.5%	-9.1%
Rice (Thai 100% B)	28-Apr	384	376	359	390	2.1%	-1.5%
Soybeans (US No.2, Yellow)	28-Apr	361	362	369	392	-0.3%	-8.0%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	April 2017 Average	Monthly Change	Annual Change
Argentina	ARS	15.3	1.2%	-6.6%
Australia	AUD	1.3	-1.2%	-1.7%
Brazil	BRL	3.1	-0.4%	11.7%
Canada	CAD	1.3	-0.4%	-4.9%
China	CNY	6.9	0.1%	-6.4%
Egypt	EGP	18.0	-2.4%	-103.2%
EU	EUR	0.9	0.3%	-5.8%
India	INR	64.5	1.9%	2.9%
Indonesia	IDR	13,299.5	0.3%	-1.0%
Japan	JPY	110.0	2.5%	-0.4%
Kazakhstan	KZT	312.4	1.1%	7.2%
Rep. Korea	KRW	1,133.7	-0.1%	1.1%
Mexico	MXN	18.7	2.7%	-7.3%
Nigeria	NGN	306.8	-0.4%	-54.4%
Philippines	PHP	49.8	0.9%	-7.4%
Russian Fed.	RUB	56.5	2.3%	15.0%
Saudi Arabia	SAR	3.7	0.0%	0.0%
South Africa	ZAR	13.4	-3.9%	7.9%
Thailand	THB	34.4	1.2%	1.8%
Turkey	TRY	3.7	0.5%	-29.0%
UK	GBP	0.8	2.3%	-13.2%
Ukraine	UAH	26.8	0.6%	-5.1%
Viet Nam	VND	22,682.6	0.5%	-1.9%

FAO Food Price Index
Apr2016-Apr2017Nominal Broad Dollar Index
Apr2016-Apr2017

Futures markets

Futures Prices – nearby

	Apr-17 Average	% Change	
		M/M	Y/Y
Wheat	154	-1.7%	- 10.7%
Maize	143	+0.1%	- 2.6%
Rice	218	+2.5%	- 3.7%
Soybeans	348	-5.0%	-1.7%

Source: CME

Futures prices

Prices for soybean fell about 5 percent m/m while prices for wheat and maize barely changed, departing from their usual tendency to react with considerable upward or downward momentum following the USDA March planting intentions report. Despite a slow start to the US planting season, overall conditions remained favourable for crop development in the northern hemisphere while soybean and maize harvests continued apace in South America. A sizable switch in acreage from maize to soybeans was projected in China in the government's effort to remedy the burdensome surplus of the cereal crop. Among exogenous factors affecting prices, declining crude oil prices appeared to weigh on agricultural commodities. Wheat and maize prices were 10.7 and 2.6 percent lower y/y while soybean prices, which had traded higher y/y for the last eleven months, were lower by 1.7 percent. Rice prices were up by 2.5 percent m/m based on lower than expected planting intentions and quarterly stocks in the US but fell sharply at month end, reflecting a 1.7 percent decline y/y.

Volumes and volatility

Wheat, maize and soybean volumes rose significantly m/m but fell short of record levels. Both implied and historical volatility declined to varying degrees for all three commodities and in the case of soybeans, to the lowest level in a year.

Basis levels and transport

Basis levels for wheat, maize and soybeans firmed slightly since the previous month in parts of the interior, conforming to normal seasonal tendencies when producers begin field work. In Illinois the interior bids to local elevators were quoted below the May futures prices at minus USD 11 and minus USD 14 per tonne for maize and soybeans respectively, while in Iowa the bids for the respective crops were minus USD 15 and minus USD 26. Domestic soft red wheat values remained negative relative to May futures prices. Gulf export quotations also were steady for maize at around USD 14 for maize, higher for soybeans at around USD 12 and lower for soft red wheat at around USD 17 – calculated on a per tonne

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Apr-17	Mar-17	Apr-16
Wheat	23.8	26.1	24.9
Maize	16.8	17.8	20.3
Rice	13.8	12.7	21.0
Soybeans	11.3	14.8	13.5

basis over the respective May futures. First quarter export clearances for wheat, maize and soybeans were record at 35.7 million tonnes, led by maize which was up 58 percent from last year. Nonetheless, barge freight declined slightly m/m to USD 13 per tonne (Illinois River to Gulf quotation).

Forward curves

Forward curves for wheat and maize remained in a holding pattern of upward slopes (contango) m/m. The soybean curve was fairly flat, maintaining a negligible premium between the July 2017 and November 2017 contracts (the old crop/new crop spread) which once exhibited USD 17 inverse. Maize and soybean deliveries against the May futures of 1 100 and 1 016 contracts respectively were larger than normal, reflecting a well-supplied cash market while wheat deliveries of 441 were about standard.

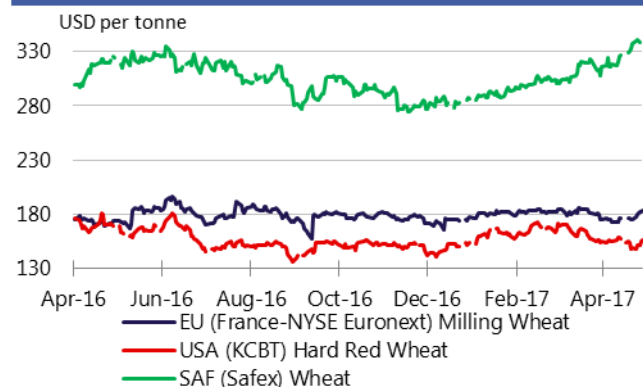
Investment flows

Managed money extended its bearish strategies in wheat, maize and soybeans, establishing the largest combined net short positions on record (405 000 contracts, over 50 million tonnes). This is a departure from its usual bullish positioning at the commencement of the growing season. Several analysts have remarked that market prices reflect only a negligible weather premium.

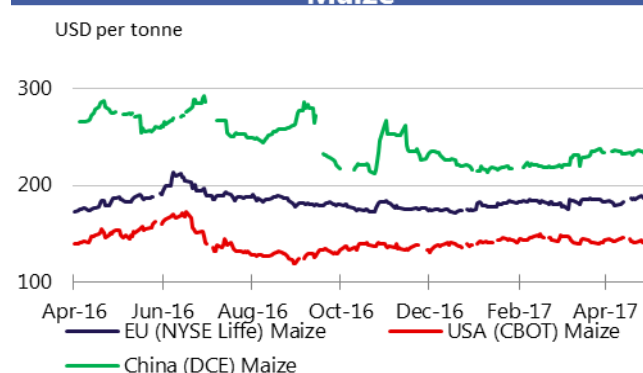
Market indicators

Daily quotations from leading exchanges - nearby futures

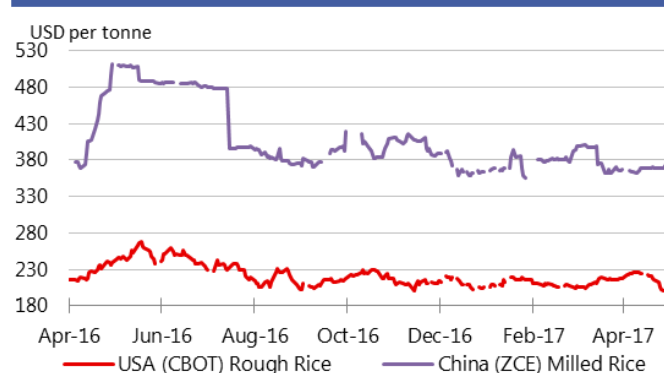
Wheat



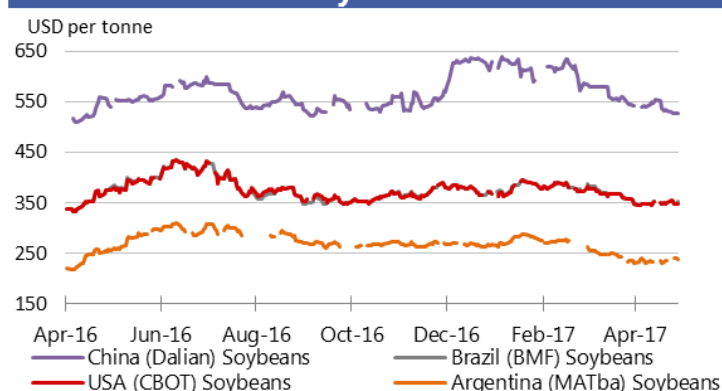
Maize



Rice

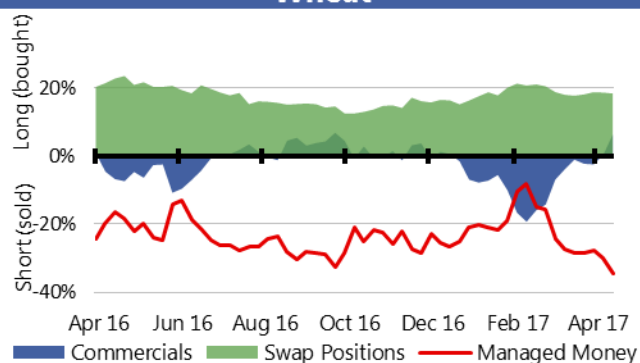


Soybeans

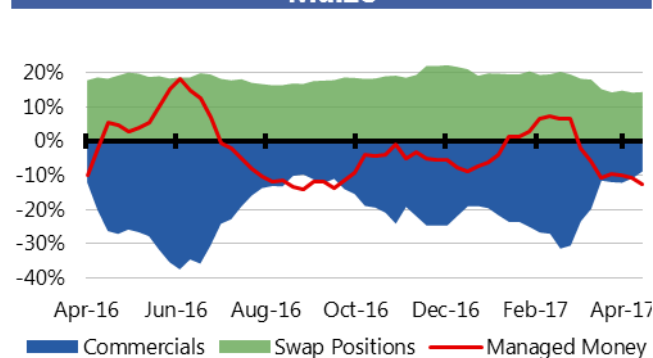


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

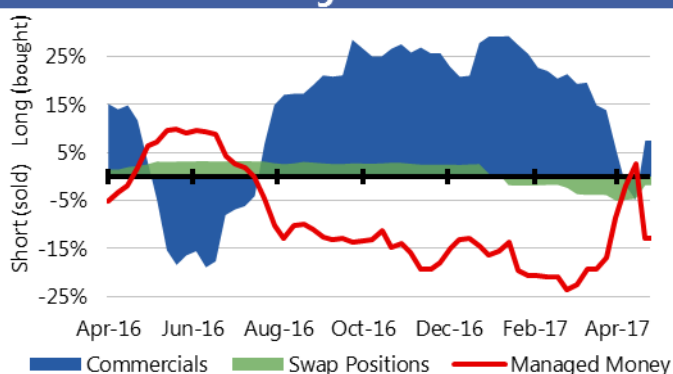
Wheat



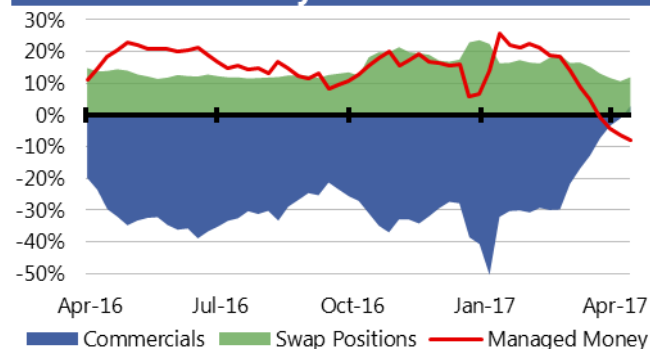
Maize



Rough Rice

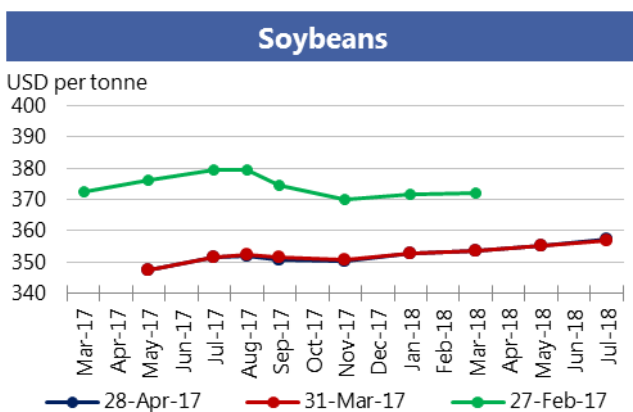
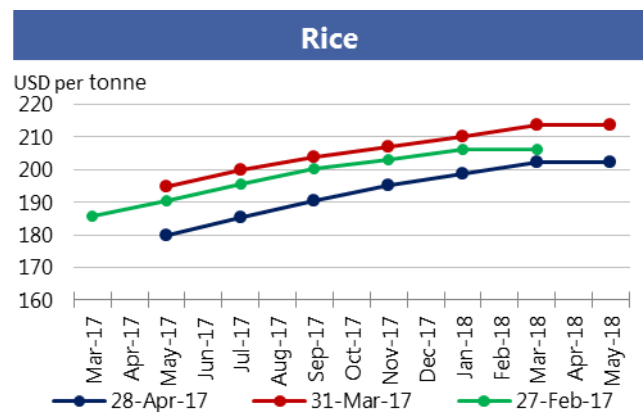
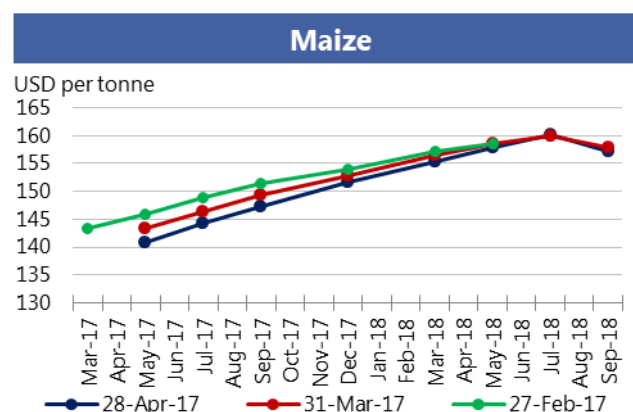
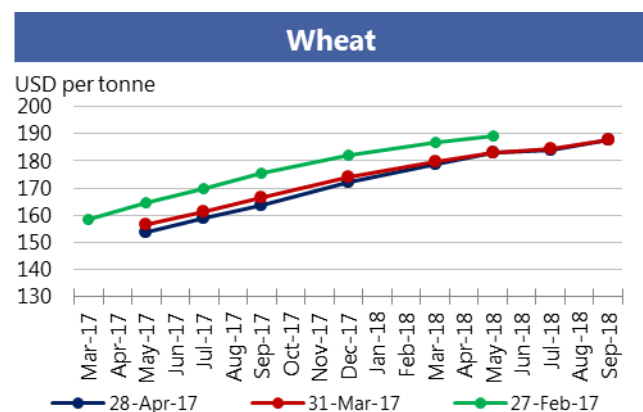


Soybeans

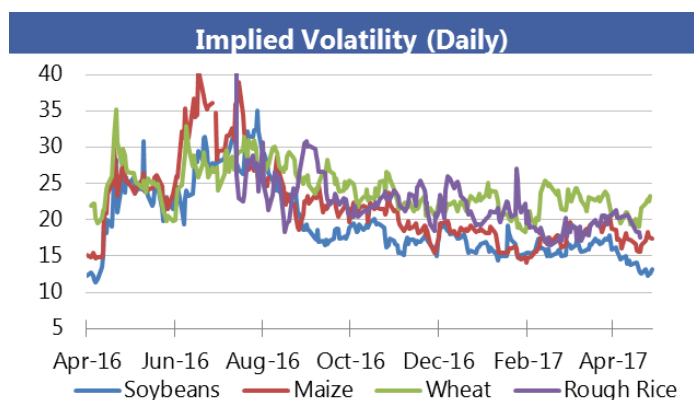
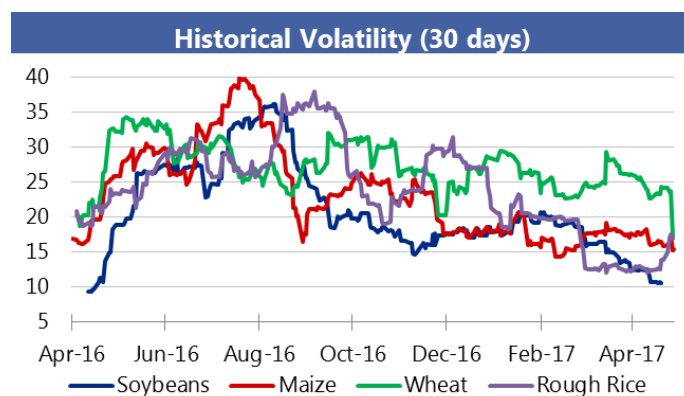


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



Monthly US ethanol update

- **Ethanol margins** increased in April and became positive.
- **Ethanol spot** and **nearby futures** prices increased in April, as RBOB gasoline prices increased. Ethanol futures prices averaged 5 cents lower than gasoline.
- **Domestic maize prices** increased during the month, leaving the average maize price 2 cents higher in April. However, production costs per gallon were unchanged. Increased ethanol and DDGs receipts led margins higher.
- **Prices of DDGs** were up 1 cent and remained at a significant discount to maize price.
- **Ethanol production** decreased in April, falling to an annual pace of 15.3 billion gallons.

Spot prices IA, NE and IL/eastern corn belt average	Apr 2017*	Mar 2017	Apr 2016
Maize price (USD per tonne)	134.50	133.71	140.50
DDGs (USD per tonne)	98.83	97.34	122.53
Ethanol price (USD per gallon)	1.56	1.41	1.45

Nearby futures prices CME, NYSE	Apr 2017*	Mar 2017	Apr 2016
Ethanol (USD per gallon)	1.62	1.53	1.52
RBOB Gasoline (USD per gallon)	1.67	1.63	1.49
Ethanol/RBOB price ratio	97.1%	94.0%	101.8%

Ethanol margins IA, NE and IL/eastern corn belt average, USD per gallon)	Apr 2017*	Mar 2017	Apr 2016
Ethanol receipts	1.56	1.41	1.45
DDGs receipts	0.31	0.30	0.38
Maize costs	1.24	1.24	1.30
Other costs	0.55	0.55	0.55
Production margin	0.08	-0.07	-0.02

Ethanol production (million gallons)	Apr 2017*	Mar 2017	Apr 2016
Monthly production total	1 256	1 364	1 178
Annualized production pace	15 285	16 062	14 338

Based on USDA data and private sources

* Estimated using available weekly data to date.

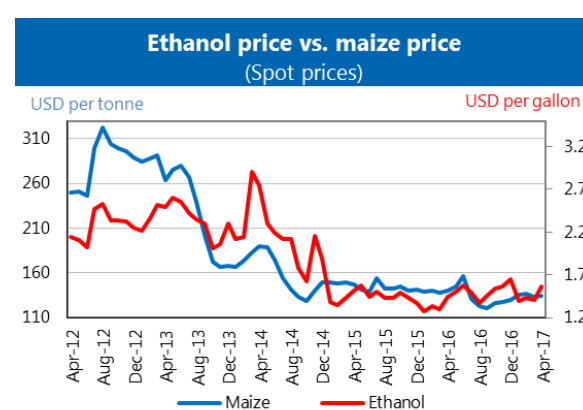
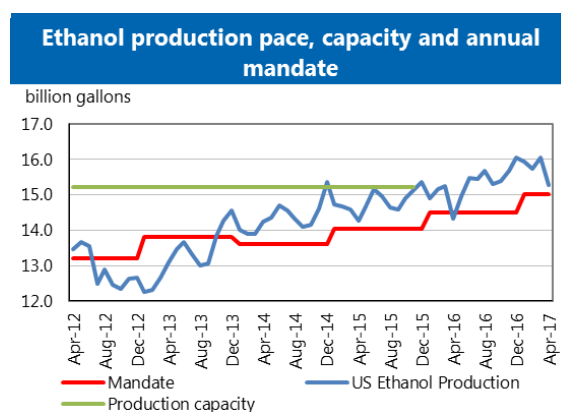
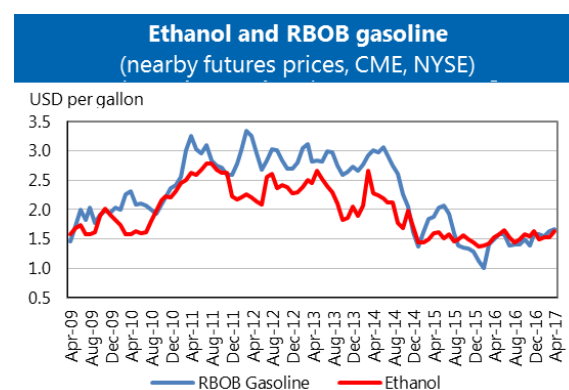
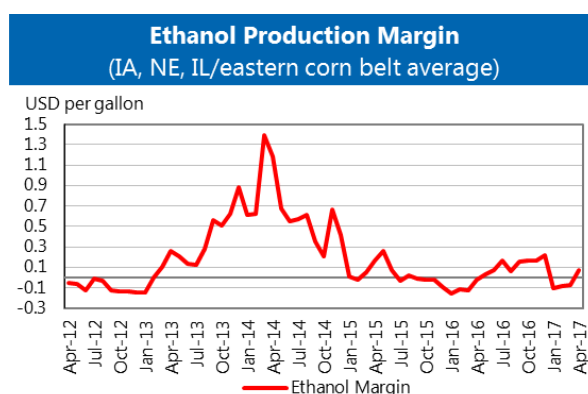


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

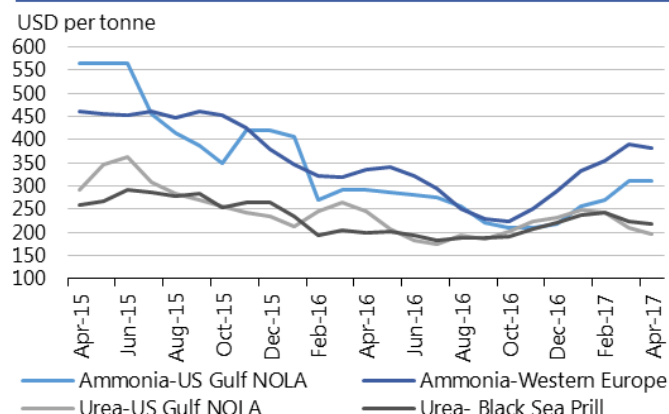
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

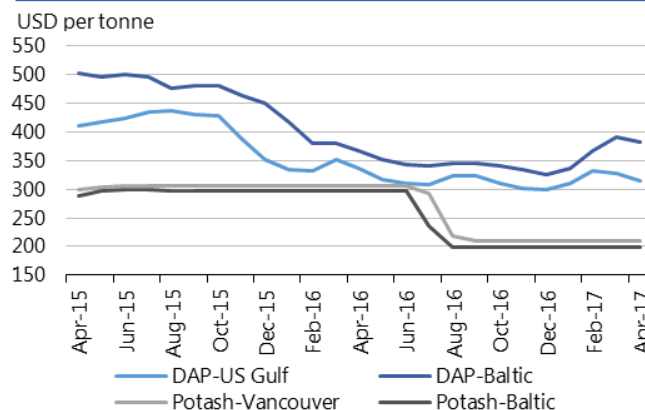
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

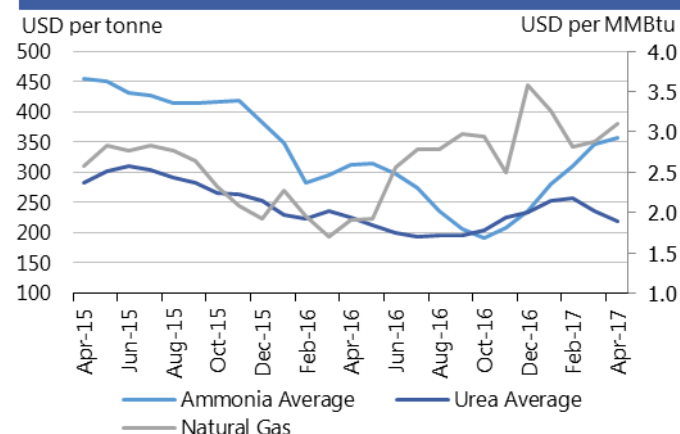
**Ammonia and Urea
(Spot prices)**



**Potash and Phosphate
(Spot prices)**



**Ammonia Average, Urea Average and Natural Gas
(Spot prices)**



Note: Natural gas is used as major input to produce nitrogen-based fertilizers. Own elaboration based on Bloomberg.

- **Ammonia** prices in Western Europe decreased slightly m/m despite an increase in demand from India and the Far East. Increasing supplies in the Mediterranean and Black Sea are pushing prices down.
- **Urea** prices for both the US and the Black Sea fell m/m due to higher inventories and lower demand. Higher exports from China and the entry of new firms in the US have further increased the supply.
- **DAP** prices in both the Baltic and US decreased m/m as production from North Africa and China flooded the markets with inventory. Environmental concerns in China and increasing demand in India may restrict the global supply, however.
- **Potash** prices held steady m/m despite the opening of a 1.4-million-tonne capacity plant in Turkmenistan. China, in turn, could start buying from international markets in May, setting a new benchmark price.
- The price of **natural gas** increased m/m due to more typical seasonal temperatures, compared to the warmer-than-normal temperatures seen in March.

Region	Apr-Average	Apr-std. dev	% Change M/M	% Change Y/Y	12-month high	12-month low
Ammonia-US Gulf NOLA	310.0	-	-	+6.2%	565.0	210.0
Ammonia-Western Europe	383.3	11.5	-1.7%	+14.4%	460.0	225.0
Urea-US Gulf	196.7	10.4	-6.7%	-20.1%	363.6	174.4
Urea-Black Sea	218.0	1.7	-2.2%	+9.0%	292.0	183.0
DAP-US Gulf	314.7	2.5	-3.8%	-6.2%	435.8	300.0
DAP-Baltic	381.7	2.9	-2.1%	+4.3%	501.3	325.0
Potash-Baltic	198.0	-	-	-33.6%	300.0	198.0
Potash-Vancouver	209.0	-	-	-31.5%	305.0	209.0
Ammonia Average	357.9	5.8	+3.1%	+14.2%	454.4	191.3
Urea Average	218.1	4.4	-7.6%	-3.6%	311.4	192.8
Natural Gas	3.1	0.1	+7.7%	+62.6%	3.6	1.7

Note: based on Bloomberg data.

i Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers.
DAP: Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
	spring												
China (17%)	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
	intermediary crop												
China (29%)	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
	winter-spring												
Viet Nam (6%)	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2017 AMIS Market Monitor Release Dates

February 2, March 2, April 6, May 4, June 8, July 6, September 7, October 5, November 2, December 7

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